

The Morning Brief

MAY 3, 2026

Record Cash

Weekend Edition: Berkshire's \$397B Cash Pile Frames a Records Week.

S&P 500 (FRI CLOSE) ~7,187 · ↑0.67% on the week	RUSSELL 2000 (FRI CLOSE) \$277.97 · Small-cap leadership	BRENT (FRI CLOSE) ~\$111 · Second weekly gain	BITCOIN (LIVE) ~\$78,281 · Range-bound	FEAR & GREED 26 · Fear
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SECTION 01

Markets — Week in Review

RECORDS ON BROADENING LEADERSHIP — A ROTATION-DEFINED WEEK CLOSES AT FRESH HIGHS

The S&P 500 closed Friday at a fresh all-time high of approximately 7,187, advancing roughly 0.67% on the week from the prior Friday's 7,139 close per Yahoo Finance and CNBC compilations. The week ran an unusually heavy catalyst stack — the FOMC delivered the most internal dissents in 34 years per CNBC (8–4 hold at 3.50–3.75%), four Mag7 prints landed with collective 2026 capital expenditure commitments above \$650B per CreditSights and CNBC compilations, and Q1 advance GDP plus March PCE printed Thursday. The closing read is a market that has resolved its rotation in favor of cash-flow industrials, real-asset cyclicals, and physical-AI infrastructure providers over multiple-driven semiconductor leadership — a configuration that maps cleanly onto the IOWN dividend-sleeve thesis heading into the back half of earnings season.

S&P 500	~7,187 · Fresh ATH close · ↑0.67% on the week
RUSSELL 2000	\$277.97 · Small-cap leadership theme
WEEKLY THEME	Industrials & cyclicals over tech · Rotation resolved
IOWN EARNINGS PATTERN	Industrials beats · AI-edge surge · Healthcare dispersion
FED FUNDS TARGET	3.50–3.75% · Held with 8–4 dissent
ISM MANUFACTURING	52.7 · Held flat · Below 53.0 consensus
MAG7 2026 CAPEX	>\$650B · Hyperscalers · Per CreditSights

BERKSHIRE'S \$397.4B CASH PILE FRAMES THE INVESTMENT-COMMITTEE QUESTION

Berkshire Hathaway disclosed Saturday at its 2026 annual meeting that the conglomerate's cash position reached a record \$397.4 billion at quarter-end, exceeding the prior

\$381.6B high set in Q3 2025 per CNBC, Bloomberg, Reuters, and Fortune coverage of new CEO Greg Abel's first annual meeting. Q1 operating earnings rose 18% to \$11.35B from \$9.64B per the company release, and net income more than doubled to \$10.18B. BNSF profit advanced 13% to \$1.38B on stronger grain, petroleum, and oilseed demand, and Berkshire Hathaway Energy edged up 2% on natural-gas pipeline revenue. The cash accumulation under Abel — held primarily at the front of the curve — is itself a market signal: Berkshire continues to find the post-Mag7-print, record-ATH environment difficult to source value-oriented acquisitions in. The Buffett anti-Bitcoin stance was reaffirmed by Abel per Yahoo Finance coverage. For an RIA committee evaluating allocation, the posture suggests selective, valuation-disciplined deployment over chasing strength. The IOWN dividend sleeve's emphasis on cash-flow industrials and real-asset

producers (CAT, GD, ADP, NEE, ATO, GPC, FAST) maps
onto the same framework.

When the largest single discretionary allocator in US equities holds \$397B in cash at fresh all-time highs, the question is not whether to deploy but how to discriminate. Think Like an Owner.

Geopolitics

HORMUZ BLOCKADE HOLDS THROUGH THE WEEKEND — THE WAR-POWERS TERMINATION DID NOT REOPEN THE STRAIT

Bloomberg reporting Saturday confirmed the Iran-related blockade in Hormuz continues to constrain the world's most important waterway, with the Strait remaining roughly 90% closed and approximately 20,000 seafarers stranded across affected vessels per the same coverage and parallel reporting. Friday's data drop showed USO declining 2.35% to \$147.09 and BNO easing 0.48% as oil markets digested a US official's confirmation to Reuters that the War Powers Act deadline had been treated as terminated despite ongoing physical impedance — the legal framework moved while the disruption persisted. CNBC coverage indicates Brent settled near \$111 after touching higher levels earlier in the week, logging a second consecutive weekly gain. Trump's notification to Congress March 2 set the 60-day clock that expired May 1, and the administration declared hostilities terminated rather than seeking authorization or withdrawing per CNBC and Reuters. Approximately 45 commercial vessels have been turned back by the US naval blockade of Iranian ports since April 13 per the same coverage. The integrated-energy thesis remains intact: refining margins are materially elevated, and IOWN names CVX (Q1 reported Friday), VLO (Q1 beat), CNX, and OKE retain forward exposure to a duration-extending supply premium that the formal terminology did not relieve.

IRAN THREAT POSTURE AND REGIONAL TRAVEL BANS DEFINE THE DIPLOMATIC STANDSTILL

Reuters reporting indicates Iran has threatened a painful response if the US renews kinetic action, while the UAE has banned its citizens from travel to Iran, Lebanon, and Iraq and urged those there to leave per Reuters coverage Friday. Trump publicly criticized German Chancellor Merz over Iran-related interference per Reuters. As of this writing, the administration's posture maintains the blockade-conditional framework: any reopening of Iranian ports remains tied to broader conditions including the nuclear program. Natural gas (UNG closed Friday at \$10.60) was a notable commodity outperformer on the day as the war-related disruption to LNG arbitrage routes remains in place. The IOWN energy sleeve's integrated-energy and refining exposure (CVX, VLO, OKE,

CTRA, CNX) retains forward exposure to a duration-extending supply premium that the formal war-powers terminology did not relieve.

HORMUZ STATUS (SAT)	~90% closed · ~20,000 seafarers affected (Bloomberg)
WAR-POWERS CLOCK	60-day expired May 1 · Hostilities declared terminated
BRENT (FRI)	~\$111 · Second weekly gain (CNBC)
USO / BNO (FRI)	\$147.09 ↓2.35% · \$58.53 ↓0.48%
UNG (FRI)	\$10.60 · ↑4.43% · LNG arbitrage premium
CARSON'S ACTIVE LEVEL	SPY \$645.80 support · Untested · Set Apr 13

On Our Radar

1. Week Ahead — The back half of S&P 500 earnings season concentrates roughly 180 reports across the week per FactSet compilations, with IOWN-relevant prints distributed throughout.

The dividend-sleeve calendar features ABT, ADI, ATO, FAST, ORI, PCAR, STLD, and TEL among others over the coming sessions; the growth-sleeve calendar features AMD, COIN, FCX, FTNT, HOOD, MRVL, NXPI, OKE, SYF, TSM, TOL, and VST. The aggregate prior-week pattern — industrials and energy-adjacent names beating with raised guidance, healthcare and analog facing operational dispersion (SYK miss), and AI-edge driving outsized single-name moves (QCOM +15.12%) — sets the bar. ABT's FDA-cleared Ultreon 3.0 commentary per Yahoo is the principal narrative anchor; ADI's analog-cycle read-across to NXPI's prior 24% Industrial & IoT growth is the cyclical signal. STLD on the steel-pricing pass-through and PCAR on Class 8 truck backlog round out the industrial dispersion question. *Research Reveals Opportunities.*

2. The Warsh confirmation moves to a full Senate vote the week of May 11, with Powell's term as chair expiring May 15.

The Senate Banking Committee approved Warsh on a 13–11 strict party-line vote Wednesday per CNBC, Bloomberg, and Reuters — the first fully partisan committee vote on a Fed chair nominee. With Republicans holding 53 seats, Warsh requires only a simple majority and Senator Fetterman has indicated bipartisan support per Semafor. The 8–4 FOMC dissent — the largest in 34 years per CNBC — underscores the institutional resistance Warsh will face in pivoting the rate path; while the chair sets the agenda, the chair holds only one of twelve votes. Warsh has publicly committed not to operate as the administration's "sock puppet" per CNN coverage of his confirmation hearing. The IOWN dividend sleeve's rate-sensitive defensives — ATO, BKH, NEE, DGX — carry the principal sensitivity to the framing transition. *Avoid Erosion.*

3. CTRA exits the S&P 500 effective prior to Thursday's May 7 open as the Devon merger closes the loop on a \$58B all-stock combination.

S&P Dow Jones Indices announced Veeva Systems will replace Coterra Energy in the index per Yahoo and Benzinga reporting, with Devon's acquisition of Coterra expected to close in Q2 2026 per Devon's investor materials. The combination would create a Permian-focused operator with pro forma production exceeding 1.6 million barrels of oil equivalent per day and targeted annual pre-tax merger synergies of approximately \$1.0B once realized per the merger announcement. CTRA holders would receive Devon shares at the close, materially reshaping the IOWN energy sub-sleeve's composition. Passive S&P tracker rebalancing flows tend to be the principal mechanical driver of price action ahead of an index removal of this size, and the May 6 close into the May 7 open is the operative window. *The physical world matters.*

4. Bitcoin holds above \$78K through the weekend as the digital-asset sleeve trades range-bound — the philosophical counterpoint to Berkshire's reaffirmed anti-Bitcoin stance.

BTC traded near \$78,300 Saturday morning per CoinDesk coverage, holding above \$78K and remaining within the \$75K–\$80K range that has defined the action since April 19 per the same coverage. IBIT and ETHA closed Friday with the spot ETF complex working through a digestion phase consistent with the broader range-bound posture. HUT closed the week on the announced closing of \$3.25B in investment-grade senior secured notes for the River Bend Data Center per Finnhub — the institutional-debt absorption validates the financing path for power-adjacent crypto operators and is read-across to MARA and the broader bitcoin-mining cohort. Abel reaffirmed the Berkshire posture against direct digital-asset exposure at Saturday's meeting per Yahoo Finance, framing the philosophical cross-current the IOWN portfolio prices into HUT, MARA, CRDO, IBIT, and ETHA via the physical-AI-infrastructure linkage rather than the speculative-asset framing. **Simplicity Over Complexity.**

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